

CROWN BERGER KENYA LTD AND SUBSIDIARIES

ANNUAL REPORT & FINANCIAL STATEMENTS

Leading the way in transforming lifestyles



2010



Our Mission

Transforming lifestyles by providing world class coating solutions whilst caring for the environment and community.

Our Vision

To be the most preferred innovative and colorful brand.

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NOTICE OF THE ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the 54th Annual General Meeting of the Company will be held at the Panafric Hotel, Kenyatta Avenue, Nairobi on Tuesday 14 June 2011 at 11.00 am. to conduct the following business:

- 1 To read the notice convening the meeting.
- 2 To table the proxies and confirm the presence of a quorum.
- 3 To consider and, if approved, adopt the Annual Report and Financial Statements for the year ended 31 December 2010 together with the Directors' and Auditors' Reports thereon.
- 4 To declare a final dividend of KShs 1.25/= per ordinary share for the financial year ended 31 December 2010, and approve the closure of the Register of Members on 15 June 2011 for one day only.
- 5 To approve the Directors' remuneration for 2010.
- 6 To elect Directors:
 - i) Mr M Charania retires by rotation in accordance with Article 100 of the Company's Articles of Association and being eligible, offers himself for re-election.
- 7 To note that Ernst & Young continue in office as Auditors in accordance with Section 159 (2) of the Companies Act and to authorise the Directors to fix their remuneration for the year 2011.

BY ORDER OF THE BOARD

Conrad Nyukuri
Company Secretary

20 April 2011

NB: In accordance with section 136 (2) of the Companies Act (Cap. 486) every member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote on his behalf. A proxy need not be a member. Proxy forms should be returned to The Registrar, Custody & Registrar Services Limited, PO Box 8484, 00100 - Nairobi to arrive not later than 48 hours before the meeting or any adjournment thereof. A form of proxy is provided at the end of this report.



CHAIRMAN'S STATEMENT

It is my pleasure to present the Company's annual report and financial statements for the year ended 31st December 2010. It has been another great achievement for the company and the Brand 'CROWN'.

Operating environment

During 2010, most of the world's economy's recovered. In Kenya, the GDP growth rate was reported at 5.4% as compared to 2.7% during 2009. The growth has been largely attributed to; the Increased liquidity and access to banking systems; prudent macroeconomic management and increased investor confidence after the implementation of the new constitution. These factors combined with others, lead to a revamping of sectors such as agriculture, manufacturing, construction and financial and service industry.

It was also observed that during the year the Kenya shilling depreciated against the United States Dollar and other currencies.

Financial Performance

During the year, Crown Berger Group continued to reap from its innovations and strong customer base. Crown Berger Group sales rose to Ksh 3 billion up from Ksh 2.5 billion in 2009, an increase of 21% from 2009; the pre-tax profits rose to Ksh 169 Million up from Ksh 140 million in 2009, an increase of 21%.

Dividends

The directors propose a first and final dividend of 25% per ordinary share of KSh 5 each. This is equivalent to Ksh 1.25 per share.

Outlook for 2011

The global economy is expected to grow by 3.3% during the year 2011. This growth is expected to be propelled by domestic demand. As a result wages are expected to rise together with the purchasing power. The Central Bank's market survey predicts an expected GDP growth of 5.7%, with manufacturing, financial services, ICT, transport being the key growth sectors.

As we go forward into 2011, the Kenyan economy is faced with inflationary pressures due to the La Nina dry spells coupled by the increase in international commodity and oil prices. This

are expected to create inflationary pressures in the economy. However, the government commitment to infrastructure spending and other economic stimulus programs are expected to propel economic growth. Crown Berger in the 1st quarter of 2011 has already endured increases of up to 30% on raw materials and has had to increase the prices of its products.

Crown Berger, through its technical research team, continuously aims at improving its products by improving on its already existing products and introducing new products. To this end Crown Berger can proudly inform you that it will be launching a new system of epoxy flooring coating for the first time in Kenya. The epoxy floor coating enhances cleaning in environments such as hospitals, industrial, commercial and private buildings.

Secondly, Crown Berger has teamed up with Crown Paints UK to import technically high standard products for interior and exteriors use in buildings which will further elevate our standing in the premium market.

We will endeavor to continuously improve the financial and brand standing of your company in 2011, despite the current difficulties.

Conclusion

I would like to acknowledge on your and my behalf several groups of people, I first thank our many business partners who have built our business during the year and whom we greatly value.

Secondly, I want to sincerely thank the board for their invaluable advice and support, the management and staff for their hard work and performance during the year. Your commitment and dedication made it possible for us to grow and sustain the company.

Finally, on behalf of the entire Board, Management and Staff, I wish to appreciate you, the shareholders for your strong and passionate support.

Mhamud Charania
20th April, 2011



MANAGING DIRECTOR'S STATEMENT

2010 - Was an excellent year for our Crown

Results are what matters, so it is with pride and pleasure that I present the headline; "Our turnover increased by 21% that is over four times the growth of the national economy".

We have therefore shown our ability to manage a changing business environment, as well as contributing to a reduced carbon footprint as we continue to becoming an environmental friendly organisation.

Our strategy is to use the best management practices. After two years of implementation and consolidation, the rewards of adopting Kaizen, Balanced Scorecard, combined with our financial investment in SAP have created a motivated workforce. The end result is an achievement in all business facets; Sales, Finance, Production, Purchasing, HR, and IT. The system was not only implemented at the head office, but also at Westlands, Kisumu and Mombasa.

The increase in turnover allowed Crown Berger to cross the Ksh. 3 billion mark. This was against a backdrop of higher raw material prices and world oil price volatility which was evident in the last quarter, we improved our gross margin by 3% compared to 2009.

Excellent finance planning and improved working capital management helped create a positive cash flow. This has made our company strong and healthy.

Today, we are experiencing a turbulent environment in various parts of the world which will result to a challenging 2011. Already raw material prices have escalated by more than 30%, the Kenya shilling has depreciated, oil prices have increased, which adds to the uncertainty.

However, I believe the demand for paints will remain, as the construction sector has great potential in this country. We will have to innovate, diversify horizontally and grow our business to ensure shareholder return on their investment.

The Departmental Wheels

Sales and Marketing

Crown won the coveted Marketing Society of Kenya (MSK) award for the Best TV advertising Campaign of 2010, which featured our transformation theme and supported the Crown brand, thus assisting our dealers' business growth. The upside of this transformation campaign was a growth factor in the premium market sales which justified the investment.

Combined with excellent increase in automotive and economy segments, it was all about breaking records with sales policies and marketing support to provide a sustainable base for future growth.

Innovation is the key word in our Mission statement, as we are listening to our customers and stakeholders.

During the year we promoted loyalty schemes to our distributors (large and small), and engaged a wider franchise with balanced percentage increase in all regions of the country. Training of painters and auto spray applications was a key target that was met by sessions in some 20 different locations and reached to over 2,000 painters.

The Crown website was duly born as a selling and marketing tool, it was expanded in content and entertainment value and will be our key communicator going forward. We have also launched a supporting page on facebook for greater digital media coverage.

Production

There are two specific routes we have travelled, meeting at one single crossroad. They are production maximisation of efficiency and safety, health and environmental quality. We refer to the two routes as KAIZEN and SHEQ-Efficient Management Systems, where improvement in performance is matched by the importance of conservation of the environment, and ensuring the staffs are protected and safety conscious in all their actions.

We are constantly self auditing to ensure standards are constantly rising and this has enabled re-certification for ISO 9001:2008 by SGS.

To show commitment to improving and maximising output of manpower, machines and material, we use the best Kaizen model practises throughout the organisation.



Information Technology (IT)

The final integration of SAP business one was achieved in March 2010. To further cement and secure the data centre and any future crashing of the main server, a back-up system had been put into place. We are currently 50% towards establishing a disaster recovery centre. This is a 2010/ 2011 project.

Other IT actions have included increased CCTV capacity, as well as biometrics for access into data centres at Likoni Road and Mogadishu Road.

Due to the introduction of the fibre optic cable a reduction of KSh. 1m was negotiated with the network operator.

IT has joined with Marketing to improve, enhance and enlarge the company's website (www.crownberger.co.ke). There are completely trained IT staffs at Mombasa, Kisumu and Dar es Salaam Road providing immediate problem solving and training services.

Human Resources (HR)

The prime aim has been to ensure industrial harmony. Action and activity has centered around meeting with the operational sections to identify performance related problems or choke points with an intention to implement changes to overcome obstacles to operations.

This has provided a basis for job rotation allowing for future work flexibility and understanding of each other's roles.

To restore workers pride and as a motivational tool, a chairman's award has been originated, to recognise the best workers by performance, innovation or constant improvement, allowing for outstanding employees to be rewarded.

On-going dialogue with the trade union has kept an open conduct which has fostered goodwill and prevented disputes rising.

To complete the HR package, a manual has been composed with the intent of having a guide which all parties can use as the procedure bible, thus examining grey areas on HR issues.

All departments took part in team building training during 2010.

Uganda

Despite the recent economic developments including inflation, exchange rates, interest rates, balance of payments, financial and fiscal developments, the economy remained resilient and was expected to grow by 6.5% in 2010 compared to 5.2% in 2009. The Uganda shilling recorded a depreciation of 17% against the US dollar between January 2010 and October 2010, in contrast to an appreciation of 4 percent between January 2009 and December

2009. The sales volume increased by 50% over last year but high raw material cost due to depreciation of the shilling impacted on profit margin of the Uganda operation.

After recent political development and stability, there is a positive trend towards business growth and we are confident to improve our market share in the year 2011.

Corporate Responsibility

There are so many deserving cases, that it takes bold decision making as to where and how best our financial budget for CSR should land.

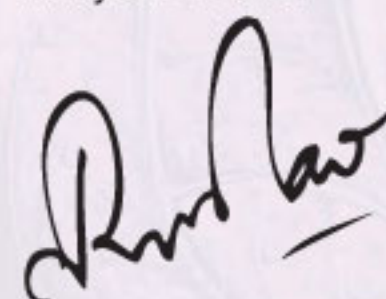
A conscious effort is applied to vary our attention between the less fortunate, the environment, the community and even national interests. Taking into consideration human needs we continue to support orphans whose parents died as a result of HIV/ Aids. For a group of children we pay their annual school fees to ensure an educational base to their lives.

As a follow on to this we have undertaken schools repainting, and have offered to all whom apply 50% discount via treating them as charities.

A commitment fee was agreed in 2010 to rehabilitate roundabouts on Uhuru Highway with the Nairobi City Council. Although expensive, this was done in the interest and beautification of the city and nation.

To embrace children, schools, support the environment and to partially foil the counterfeiters we launched 'Rudisha Kopo'. This involves taking back used cans, then placing them at selected schools. A tree seedling is placed in each can, and then carefully nurtured by a student until the tree is large enough to sustain itself and be planted for the future benefit of all. This campaign is self sustainable and embraces several actions to improve, enhance and educate all as to what sustainable action is necessary to provide a future.

In conclusion, I extend my thanks to the directors, management and staff, not forgetting our shareholders who have brought us to a position of strength from which we see an active and buoyant future.



Rakesh Rao

20th April, 2011



CORPORATE GOVERNANCE

1. Introduction

Crown Berger Kenya Ltd is committed to the highest standards of governance by establishing a number of management and social responsibility principles in addition to the standards of Corporate Governance introduced by Capital Market Authority. The Board of Directors governs the company in a way that maximizes shareholder value and is in the best interest of the society.

2. The Board of Directors

The Board comprises of 5 Directors, of whom 3 are Executive. Mr. Rakesh Rao is Managing Director and Mr. Patrick Mwati is the Finance Director. Mr. Hussein Charania is an Executive Director. The Non-Executive Directors are considered to be independent of management influence and do not engage in any business or interest that could impair their participation in the management of the company.

The Directors are appointed by the Shareholders and are due for retirement by rotation in accordance with the Company's Articles of Association. They are eligible for re-election. The current composition of the Board is given on page 12. The Board sets the objectives and policies that drive the company's strategic vision, ensures compliance with statutory and regulatory requirements.

The Directors are given appropriate and timely information so that they can maintain full and effective control over all strategic, financial, operational and compliance issues. The Board meets at least 4 times a year with additional meetings held as and when the need arises.

Whilst the day to day running of the business of the company is delegated to the Managing Director, the Board is responsible for establishing and maintaining the Company's system of internal controls so that its objectives for growth in the profitability and Shareholders' value are realized.

All Directors receive formal information on their role, duties, responsibilities and obligations as well as Board practices and procedures on first appointment. Subsequently they are kept informed of corporate governance, changing corporate environment, business/commercial risks and other matters that are of interest in the execution of their role.

3. Board Meetings

The Board of Directors meets every quarter to monitor the company's financial performance, plan strategy and review performance. Specific reviews are also undertaken of management performance, operational issues and future planning as and when needed.

4. Board Committees

There are two main committees that meet regularly under the terms of reference set by the Board.

a) Audit Committee

The audit committee chaired by the Non Executive Director and with attendance by invitation, the Managing Director and other key personnel review the effectiveness of internal controls and discuss the audit reports.

b) Finance Committee

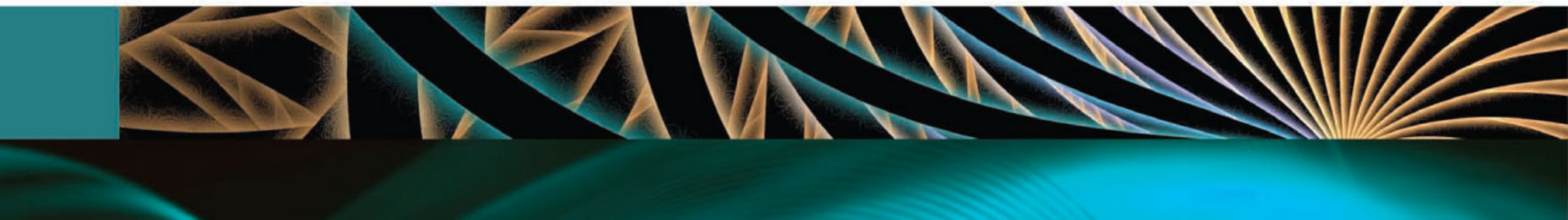
This committee chaired by a Non Executive Director, receives reports from management and reviews Company's financial performance against targets, ensures compliance and issues guidelines where necessary. The Board appoints other committees as and when required.

5. Communication with Shareholders

The Company is committed to communicating openly with its shareholders on its performance and addressing any other areas of concern. This is achieved through the distribution of the company's Annual Report, holding of the Annual General Meeting where the shareholders have the opportunity to ask questions and freely interact with the Board. Also the company releases notices in the national press of its half-yearly and annual results in compliance with statutory requirements. On a day to day basis the shareholders have direct access to the company's Secretary and Share Registrar who respond to their queries on various issues.

Directors' Emoluments and Loans

The aggregate amount of emoluments paid to Directors for services is disclosed in Note 24, page 55 to the financial statements. No arrangements exist whereby a Director could acquire Company shares on beneficial terms.



Top ten largest shareholders

Share Holder	Name & Address	Total Shares	Percentage
2402	CROWN PAINTS AND BUILDING PRODUCTS LIMITED P.O. BOX 78188 NAIROBI	11,402,855	48.06
3207	BARCLAY HOLDINGS LIMITED 35 BARRACK ROAD P O BOX 1777 BELIZE CITY BELIZE	3,234,000	13.63
7135955	LANSBURY LIMITED P.O. BOX 48020 NAIROBI 00100	1,119,100	4.72
604	PAUL WANDERI NDUNGU P.O. BOX 75528 NAIROBI 00200	780,514	3.29
3316980	KANAKSINH KARSANDAS & SANDIP KANAKSINH BABLA P.O. BOX 80631 MOMBASA 80100	346,300	1.46
88986	MAHENDRA DAHYABHAI PATEL P.O. BOX 178 NAIROBI 00606	224,020	0.94
2270	MAHENDRA FULCHAND GANDHI & MRS MALVIKA MAHENDRA GANDHI P.O. BOX 90393 MOMBASA	200,939	0.85
280780	JOHN MURIUKI KIBUCHI P.O. BOX 20105 - 00200 NAIROBI	180,680	0.76
207179	VICTORIA FURNITURES LIMITED P.O. BOX 10827 NAIROBI 00400	106,700	0.45
2515	KANAKSINH KARSANDAS BABLA & SANDIP KANAKSINH BABLA C/O THE STANDARD MOTOR CO.LTD. P.O. BOX 80631 MOMBASA	101,200	0.43

Total Holders	10
Total Shares	17,696,308
Remaining Shares of company	6,030,692
Remaining Holders	2,921
Grand Total of Holders	2,931
Pending CDS Upload	0
Total Shares without CDS Pending Shares	23,727,000
Grand Total of Shares	23,727,000

Crown - Berger Kenya Limited Share Register Shareholding Analysis by volume as at 31 March 2011

Corporate Responsibility Environmental Protection

Generally we have pursued a corporate policy of working with groups, NGO's or Government bodies where the effect of intervention by Crown Berger is profound and considers a long term relationship.

To this end in 2010 we have sustained our now 4 year engagement with KENWA to educate by providing school fees for a group of orphans.

Youth is a theme that allows us to assist education and sports by relating support to groom future Kenyan stars, hence we have selected majority and minority sports. The beneficiaries of our policy have to date included:

The Brazilian Soccer League (KIBERA)

Obuya Cricket Academy – which grooms players of U13 and U16 with a view to national selection within a timescale 2011 – 2018.

To support minorities we have assisted basketball tournaments in Kayole, as well as soccer.

Culturally, we have supported artists by open days e.g. Kariobangi and Sarakasi. There are three major projects which encapsulate our concern for the environment and the elimination of rogue commercial elements who threaten the welfare of all law abiding citizens and companies not to mention financial loss to the governments, I refer to the COUNTERFEITERS.

Three years ago we commenced a tree planting programme with Makini School which we have enhanced to embrace all of their 700 pupils. This ensures continuity; the seedlings grow into maturity and can be replanted, so the students are educated as to how and why; experience the planting and responsibility of rearing and ultimate growth to protect their future.

Related to this project and mindful of the counterfeiters, we have utilized empty used tins for the plants to grow hence the tin does not become an environmental handicap, nor does it fall into the hands of the counterfeiters. This project runs under the banner 'RUDISHA KOPO'.

To the National cause and in particular Nairobi City and our tourist legacy, we have undertaken to own roundabouts on Uhuru highway. We aim to keep them in pristine condition with plants, foliage, herbs, etc. This allows NCC to use resources for more intensive essential works in areas where hardship is an every day event.

Dependant on budgets, we have assisted many schools with paints to improve the learning environment and the social environment, Mai-A-Ihii school is an example of where paint and trees were donated.

In essence we believe our CSR policy is balanced within our budget and contributes to the national well being.



CORPORATE SOCIAL RESPONSIBILITY



FINANCIAL STATEMENTS

CORPORATE INFORMATION

CROWN-BERGER KENYA LIMITED AND SUBSIDIARIES COMPANY INFORMATION FOR THE YEAR ENDED 31 DECEMBER 2010

PRINCIPAL PLACE OF BUSINESS

Mogadishu Road
P.O. Box 78084 - 00507
Nairobi.

REGISTERED OFFICE

LR No. 209/5792
Mogadishu Road
P.O. Box 78084 - 00507
Nairobi.

BANKERS

Kenya Commercial Bank Limited
P.O. Box 311 - 00567
Nairobi.

BANKERS

Commercial Bank of Africa
Enterprise Road Branch
Industrial Area
Nairobi.

SOLICITORS

Kairu Mbuthia & Kiingati Advocates
Paresia Center Ngong Road
Opposite Uchumi Hyper
P.O. Box 6574 - 00100
Nairobi.

SECRETARY

Conrad Nyukuri
P.O. Box 41968 - 00100
Nairobi.

REGISTRARS

Custody and Registrar Services Ltd
6th Floor, Bruce House
Standard Street
P.O. Box 8484 - 00100
Nairobi.

AUDITORS

Ernst & Young
Kenya-Re Towers, Upperhill
P.O. Box 44286 - 00100
Nairobi.

REPORT OF THE DIRECTORS

FOR THE YEAR ENDED 31 DECEMBER 2010

The directors submitted their report and the audited financial statements for the year ended 31 December 2010, which show the state of the Group's affairs.

1. PRINCIPAL ACTIVITIES

The principal activities of the company and its subsidiaries are the manufacture and sale of paints, adhesives, decorating sundries, PVA emulsion and alkyd resins.

Crown-Berger Allied Industries Limited is involved in the manufacture of adhesives.

Twiga Paints Limited, formerly, a subsidiary, was dissolved in November 2009.

2. GROUP RESULTS

The results for the year are set out on page 18.

3. COMPANY RESULTS

The results for the year are set out on page 24.

4. DIVIDENDS

Subject to approval by the shareholders, the directors recommend the payment of a dividend of KShs 1.25 (2009: KShs 1.25) per share amounting to KShs 29,658,750 (2009: KShs 29,658,750).

5. FINANCIAL STATEMENTS

At the date of this report, the directors were not aware of any circumstances, which would have rendered the values attributed to assets and liabilities in the financial statements of the Group misleading.

6. RESERVES

The reserves of the Group and the company are set out on page 50, note 13.

7. DIRECTORS

The directors who served during the year and to the date of this report were:-

M. Charania	-	Chairman
R.K. Rao	-	Managing Director
F.G.K. Maina		
P.M. Mwati		
H.H.R.J. Charania		

8. AUDITORS

Ernst & Young have expressed their willingness to continue in office in accordance with Section 159(2) of the Kenyan Companies Act.

By Order of the Board

Conrad Nyukuri

Secretary

20 April 2011



STATEMENT OF DIRECTORS' RESPONSIBILITIES

ON THE GROUP'S FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2010

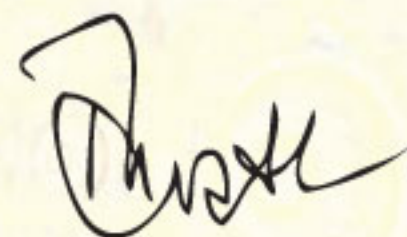
The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of financial affairs of the Group and the company as at the end of the financial year and of the operating results of the Group and the company for that year. It also requires that the directors ensure that the Group and the company keep proper accounting records which disclose, with reasonable accuracy, the financial position of the Group and the company. They are also responsible for safeguarding the assets of the Group.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements, present fairly, in all material respects, the state of the financial affairs of the Group and the company and of their operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of the financial statements, as well as adequate systems of internal control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.



.....
Rakesh Rao
Director



.....
Patrick Mwati
Director

20 April 2011



REPORT OF THE INDEPENDENT AUDITORS

TO THE MEMBERS OF CROWN-BERGER KENYA LIMITED AND SUBSIDIARIES

Report on the financial statements

We have audited the accompanying consolidated financial statements of Crown-Berger Kenya limited (the company) and its subsidiaries (together, the Group), which comprise the consolidated statement of financial position as at 31 December 2010, and the consolidated statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, together with the statement of financial position of the company as at 31 December 2010, the statement of comprehensive income and statement of changes in equity of the company for the year then ended, and a summary of significant accounting policies and other explanatory information, as set out on pages 16 to 65.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an independent opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing.

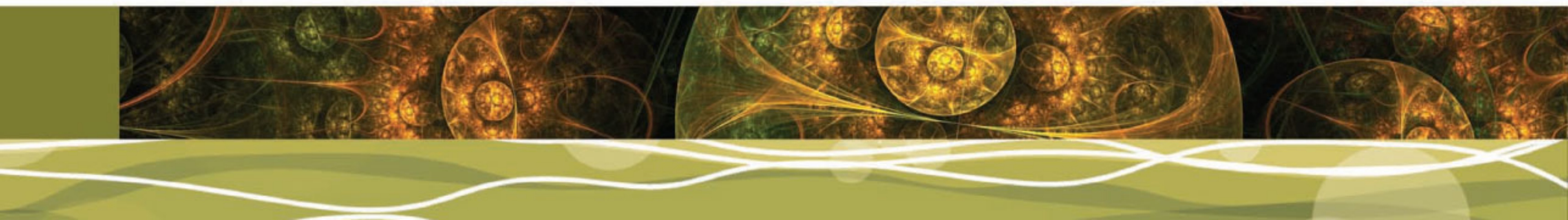
Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depended on our professional judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

In making those risk assessments, we considered the internal control relevant to the company's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.

An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.



REPORT OF THE INDEPENDENT AUDITORS

Opinion

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Group and of the company as at 31 December 2010 and of the financial performance and cash flows of the Group and the company for the year then ended in accordance with International Financial Reporting Standards.

Report On Other Legal Requirements

As required by the Kenyan Companies Act, we report to you, based on our audit, that:

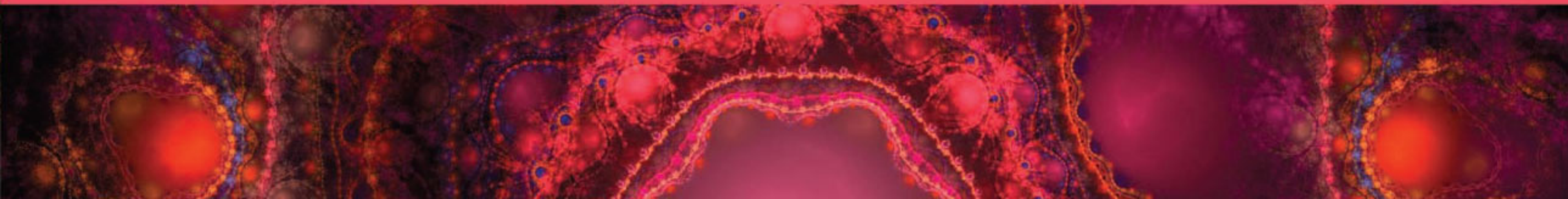
- i) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) In our opinion, proper books of account have been kept by the Group and the company, so far as appears from our examination of those books; and,
- iii) The Group and the company's statements of financial position and comprehensive income are in agreement with the books of account.

Certified Public Accountants

Nairobi



21 April 2011



CONSOLIDATED STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2010

	Note	2010 KShs'000	2009 KShs'000
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	3	464,451	496,648
Intangible assets	4	18,263	25,819
Prepaid leases	5	9,554	9,819
		492,268	532,286
CURRENT ASSETS			
Inventories	8	445,785	519,322
Trade and other receivables	9	550,893	467,166
Amounts due from related parties	10(ii)	371,255	269,034
Tax recoverable	11	-----	5,455
Cash and cash equivalents		112,136	65,189
		1,480,069	1,326,166
TOTAL ASSETS		1,972,337	1,858,452

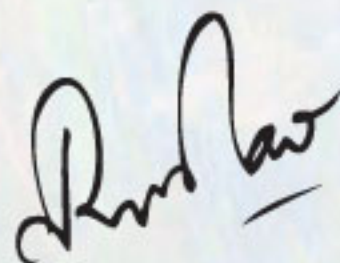


CONSOLIDATED STATEMENT OF FINANCIAL POSITION

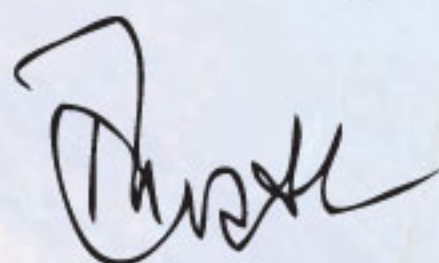
AS AT 31 DECEMBER 2010

	Note	2010 KShs'000	2009 KShs'000
EQUITY AND LIABILITIES			
EQUITY			
Share capital	12	118,635	118,635
Reserves	13	754,051	688,649
Proposed dividends	14	29,659	29,659
		902,345	836,943
NON-CURRENT LIABILITIES			
Deferred tax	15	78,211	97,860
CURRENT LIABILITIES			
Bank overdraft	16	24,887	25,221
Interest bearing loans and borrowings	17	83,415	42,585
Commercial paper	18	113,403	276,013
Amounts due to related parties	10(ii)	339,728	164,203
Trade and other payables	19	392,719	415,627
Tax payable	11	37,629	-----
		991,781	923,649
TOTAL EQUITY AND LIABILITIES		1,972,337	1,858,452

The financial statements were approved by the Board of Directors on 20 April 2011 and signed on its behalf by:



Rakesh Rao
Director

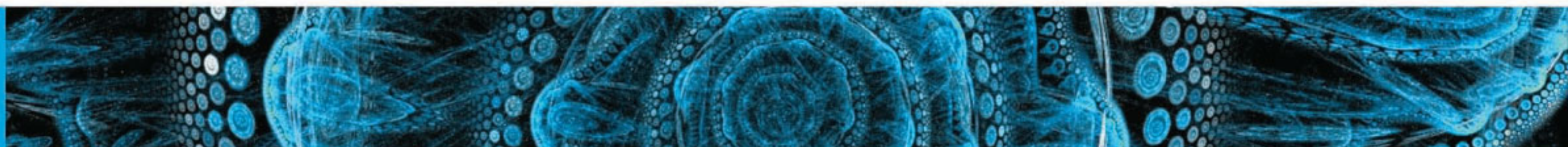


Patrick Mwati
Director

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER 2010

	Note	2010 KShs'000	2009 KShs'000
SALES	20	3,068,468	2,543,657
COST OF SALES	21	(1,889,621)	(1,619,803)
GROSS PROFIT		1,178,847	923,854
OTHER INCOME	22	42,608	53,698
DIVIDEND INCOME	23	-----	51,234
		1,221,455	1,028,786
EXPENSES			
Administration and establishment	24	(665,058)	(561,733)
Selling and distribution	25	(359,179)	(279,031)
Finance costs	26	(27,738)	(48,204)
PROFIT BEFORE TAX	27	169,480	139,818
TAX	11	(78,063)	(53,510)
PROFIT FOR THE YEAR		91,417	86,308
Other comprehensive income		-----	-----
TOTAL COMPREHENSIVE INCOME		91,417	86,308
ATTRIBUTABLE TO:			
Owners of the parent		91,417	86,308
Non- Controlling interest		-----	-----
		91,417	86,308
		KShs	KShs
Basic and diluted earnings per share	28	3.85	3.64



CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

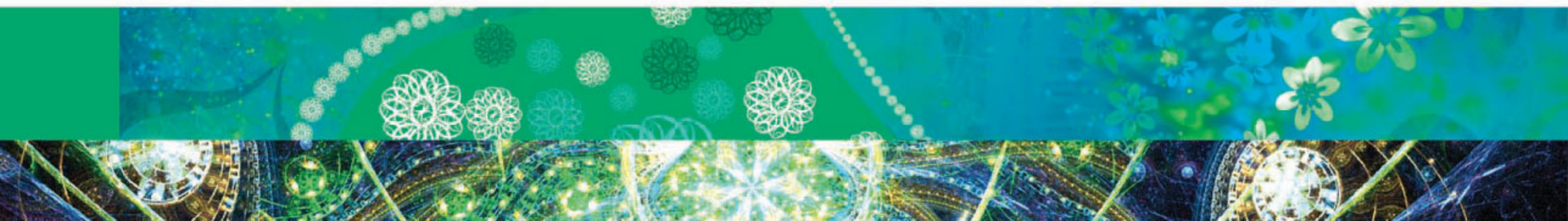
FOR THE YEAR ENDED 31 DECEMBER 2010

	Share Capital KShs'000	Share Premium KShs'000	Revaluation Reserve KShs'000	Retained Earnings KShs'000	Proposed Dividends KShs'000	Total Equity KShs'000
At 1 January 2009	118,635	80,174	98,346	501,070	23,727	821,952
Transfer of excess depreciation on revaluation	-----	-----	(8,504)	8,504	-----	-----
Deferred tax	-----	-----	3,644	-----	-----	3,644
Total comprehensive income	-----	-----	-----	86,308	-----	86,308
Dividends						
- Paid for 2008	-----	-----	-----	-----	(23,727)	(23,727)
- Proposed for 2009	-----	-----	-----	(29,659)	29,659	-----
- Dividend paid on dissolution	-----	-----	-----	(51,234)	-----	(51,234)
At 31 December 2009	118,635	80,174	93,486	514,989	29,659	836,943
At 1 January 2010	118,635	80,174	93,486	514,989	29,659	836,943
Transfer of excess depreciation on revaluation	-----	-----	(8,504)	8,504	-----	-----
Deferred tax	-----	-----	3,644	-----	-----	3,644
Total comprehensive income	-----	-----	-----	91,417	-----	91,417
Dividends						
- Paid for 2009	-----	-----	-----	-----	(29,659)	(29,659)
- Proposed for 2010	-----	-----	-----	(29,659)	29,659	-----
At 31 December 2010	118,635	80,174	88,626	585,251	29,659	902,345

CONSOLIDATED STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER 2010

	Note	2010 KShs'000	2009 KShs'000
OPERATING ACTIVITIES			
Profit before tax		169,480	139,818
Adjustments for:-			
Depreciation		75,488	73,408
Amortisation of intangible assets		8,742	10,304
Amortisation of prepaid leases on land		265	265
Impairment of Intangible assets		-----	10,500
Impairment of goodwill		-----	13,497
Foreign exchange loss / (gain)		20,469	(15,445)
Interest expense		27,738	48,204
Gain on disposal of plant and equipment		(114)	(1,526)
Operating profit before working capital changes		302,068	279,025
(Increase)/ decrease in trade and other receivables		(83,727)	104,223
Decrease in inventories		73,537	98,954
(Decrease)/ increase in trade and other payables		(22,908)	16,241
Related party balances		73,304	9,416
Cash flows generated from operations		342,274	507,859
Income tax paid	11	(50,984)	(48,573)
Interest paid		(27,738)	(48,204)
Net cash generated from operating activities		263,552	411,082



CONSOLIDATED STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER 2010

	Note	2010 KShs'000	2009 KShs'000
INVESTING ACTIVITIES			
Purchase of property, plant and equipment		(43,518)	(60,221)
Purchase of intangible assets		(1,186)	(11,913)
Proceeds on sale of plant and equipment		341	5,198
Dividends on dissolution of Twiga Limited		-----	(51,234)
Net cash used in investing activities		(44,363)	(118,170)
FINANCING ACTIVITIES			
Loan proceeds		396,139	460,422
Loan payment		(355,309)	(520,523)
Borrowings on commercial paper		271,913	470,030
Commercial paper payment		(434,523)	(553,188)
Dividends paid on ordinary shares		(29,659)	(23,727)
Net cash used in financing activities		(151,439)	(166,986)
Net increase in cash and cash equivalents		67,750	125,926
Cash and cash equivalents at the beginning of the year		39,968	(101,403)
Effect of exchange rate changes		(20,469)	15,445
Cash and cash equivalents at the end of the year	29	87,249	39,968

COMPANY STATEMENT ON FINANCIAL POSITION

AS AT 31 DECEMBER 2010

	Note	2010 KShs'000	2009 KShs'000
ASSETS			
NON CURRENT ASSETS			
Property, plant and equipment	3	420,977	448,923
Intangible assets	4	17,668	25,068
Prepaid leases	5	9,554	9,819
Investments in subsidiary companies	6	12,000	12,000
Deposit for shares	7	204,028	204,028
		664,227	699,838
CURRENT ASSETS			
Inventories	8	413,076	471,031
Trade and other receivables	9	451,772	375,935
Amounts due from related parties	10(ii)	534,110	378,020
Tax recoverable	11	-----	1,144
Cash and cash equivalents		104,433	59,216
		1,503,391	1,285,346
TOTAL ASSETS		2,167,618	1,985,184
EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Share capital	12	118,635	118,635
Reserves	13	972,981	850,376
Proposed dividends	14	29,659	29,659
		1,121,275	998,670



COMPANY STATEMENT ON FINANCIAL POSITION

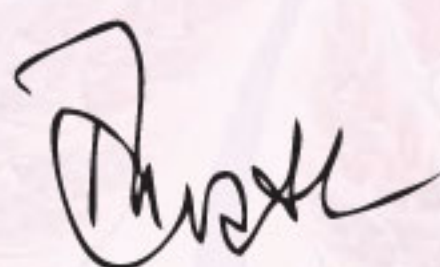
AS AT 31 DECEMBER 2010

	Note	2010 KShs'000	2009 KShs'000
NON CURRENT LIABILITES			
Deferred tax	15	78,211	97,860
CURRENT LIABILITIES			
Bank overdraft	16	24,887	25,221
Interest bearing loans and borrowings	17	83,415	42,585
Commercial paper	18	113,403	276,013
Trade and other payables	19	361,707	375,778
Amounts due to related parties	10(ii)	343,080	169,057
Tax payable	11	41,640	-----
		968,132	888,654
TOTAL EQUITY AND LIABILITIES		2,167,618	1,985,184

The financial statements were approved by the Board of Directors on 20 April 2011 and signed on its behalf by:



.....
Rakesh Rao
Director



.....
Patrick Mwati
Director



COMPANY STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER 2010

	Note	2010 KShs'000	2009 KShs'000
SALES	20	2,983,306	2,464,489
COST OF SALES	21	(1,841,900)	(1,580,212)
GROSS PROFIT		1,141,406	884,277
OTHER INCOME	22	35,826	54,869
DIVIDEND INCOME	23	-----	51,234
		1,177,232	990,380
EXPENSES: -			
Administration and establishment	24	(597,408)	(495,636)
Selling and distribution	25	(325,891)	(240,080)
Finance costs	26	(27,250)	(48,929)
PROFIT BEFORE TAX	27	226,683	205,735
TAX	11	(78,063)	(53,510)
PROFIT FOR THE YEAR		148,620	152,225
Other comprehensive income		-----	-----
Total comprehensive income		148,620	152,225
ATTRIBUTABLE TO:			
Owners of the parent		148,620	152,225
Non - controlling interest		-----	-----
		148,620	152,225
Basic and diluted earnings per share	28	KShs 6.26	KShs 6.42



CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2010

	Share Capital KShs'000	Share Premium KShs'000	Revaluation Reserve KShs'000	Retained Earnings KShs'000	Proposed Dividends KShs'000	Total Equity KShs'000
At 1 January 2009	118,635	80,174	138,722	505,270	23,727	866,528
Transfer of excess depreciation on revaluation	-----	-----	(8,504)	8,504	-----	-----
Deferred tax	-----	-----	3,644	-----	-----	3,644
Total comprehensive income	-----	-----	-----	152,225	-----	152,225
Dividends						
- Paid for 2008	-----	-----	-----	-----	(23,727)	(23,727)
- Proposed for 2009	-----	-----	-----	(29,659)	29,659	-----
At 31 December 2009	118,635	80,174	133,862	636,340	29,659	998,670
At 1 January 2010	118,635	80,174	133,862	636,340	29,659	998,670
Transfer of excess depreciation on revaluation	-----	-----	(8,504)	8,504	-----	-----
Deferred tax	-----	-----	3,644	-----	-----	3,644
Total comprehensive income	-----	-----	-----	148,620	-----	148,620
Dividends						
- Paid for 2009	-----	-----	-----	-----	(29,659)	(29,659)
- Proposed for 2010	-----	-----	-----	(29,659)	29,659	-----
At 31 December 2010	118,635	80,174	129,002	763,805	29,659	1,121,275

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

1. SIGNIFICANT ACCOUNTING POLICIES

a) Basis of preparation

The financial statements have been prepared on the historical cost basis as modified by the revaluation of certain properties, certain financial instruments at fair value and impaired assets at their recoverable amounts. The financial statements are presented in Kenya Shillings and all values are rounded to the nearest thousand.

b) Statement of compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB).

c) Consolidation

The consolidated financial statements of the Group comprise the financial statements of the company and its subsidiaries as at 31 December each year. The subsidiaries include Crown-Berger Allied Industries Limited and Crown Buildings and Products Limited - Uganda, wholly owned by the Company.

Subsidiaries are fully consolidated from the date of acquisition, being the date on which the Group obtains control, and continue to be consolidated until the date that such control ceases. The financial statements of the subsidiaries are prepared for the same reporting period as the parent company, using consistent accounting policies. All intra-group balances, income and expenses and unrealised gains and losses resulting from intra-group transactions are eliminated in full.

d) Foreign currency transactions

Transactions in foreign currencies during the year are converted into the functional currency, Kenya Shillings, using the exchange rates prevailing at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency spot rate of exchange ruling at the reporting date.

All differences are taken to the statement of comprehensive income with the exception of all monetary items that provide an effective hedge for a net investment in a foreign operation.

These are recognised in other comprehensive income until the disposal of the net investment, at which time they are recognised in profit and loss. Tax charges and credits attributable to exchange differences on those monetary items are also recorded in other comprehensive income until disposal of the net investment, at which time, they are also recognised in profit and loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

Interest income is accrued on a time basis, by reference to the principal outstanding at the effective interest rate applicable.

e) Borrowing costs

Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds. Borrowing costs are expensed during the period in which they occur. Borrowing costs are capitalised on qualifying assets.

f) Related parties

In the normal course of business, the Group has entered into transactions with related parties.

g) Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable, excluding discounts, rebates, and sales taxes or duty. The following specific recognition criteria must also be met before revenue is recognised:



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

1. SIGNIFICANT ACCOUNTING POLICIES (Continued)

Sale of goods

Revenue from the sale of goods is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer, usually on delivery of the goods.

Interest income

Interest income is accrued on a time basis, by reference to the principal outstanding at the effective interest rate applicable.

Rental income

Income arising from operating leases on machinery is accounted for on a straight line basis over the lease terms.

All other income earned by the Group is recognised as it accrues.

h) Employee benefits

Defined contributions provident fund

The company operates a defined contributions post-employment provident fund for eligible non-unionisable employees. The fund is funded by contributions from the employees and the company. The assets of the fund are held and administered independently of the company's assets. The company's contributions to the fund are charged to the statement of comprehensive income in the year in which they are incurred.

Past service costs are recognised immediately in income, unless the changes to the provident fund are conditional on the employees remaining in service for a specified period of time (vesting period). In this case, the past service costs are amortised on a straight line basis over the vesting period.

Statutory pension scheme

The company also contributes to a statutory defined contribution pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statute and are currently limited to KShs 200 per employee per month.

The company's contributions to the above schemes are charged to the statement of comprehensive income in the year to which they relate.

Employees' entitlements

The monetary benefits for employees' accrued annual leave entitlement at the reporting date are recognised as an expense accrual.

i) Inventories

Inventories are valued at the lower of cost and net realisable value. Cost is determined on a weighted average basis and comprises expenditure incurred in the normal course of business, including direct material costs, labour and production overheads. Net realisable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

j) Dividends

Dividends are charged to reserves in the year to which they relate. Proposed dividends are disclosed as a separate component of equity until declared.

k) Taxation

Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amounts expected to be recovered from or paid to the taxation authorities. Income tax expense represents the sum of current income tax charge and deferred taxation.

Current income tax is provided for on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

1. SIGNIFICANT ACCOUNTING POLICIES (Continued)

k) Taxation (Continued)

Current income tax (Continued)

Income tax relating to items recognised outside profit or loss is recognised outside profit or loss. Income tax items are recognised in correlation to underlying transactions either in other comprehensive income, profit and loss or directly in equity.

Deferred tax

Deferred tax is provided using the liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax losses and unused tax credits to the extent that it is probable that future taxable profits will be available against which the deductible temporary differences, unused tax losses and the unused tax credits can be utilised.

Deferred income tax liabilities are recognised for all taxable temporary differences, except:

- where the deferred income tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- in respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred income tax assets and liabilities are measured at the rates that are expected to apply in the year when the asset is realised or the liability is settled based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date. Un-recognised deferred income tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Current income tax and deferred tax relating to items recognised in other comprehensive income is also recognised in other comprehensive income and not in profit or loss.

Value added tax

Revenues, expenses and assets are recognised net of the amount of value added tax except:

- Where the value added tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the value added tax is recognised as part of the cost of acquisition of the asset or as part of the expense item as applicable.
- Receivables and payables that are stated with the amount of value added tax included.

The net amount of value added tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

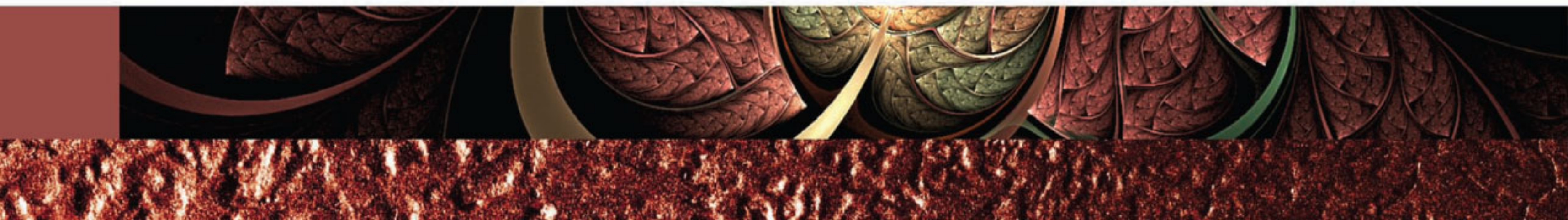
l) Financial instruments

Financial assets and liabilities are recognised in the Group's statement of financial position when the company becomes a party to contractual provisions of the instrument. Financial assets, other than financial assets held at fair value through profit and loss, are recognised initially at fair value plus directly attributable transaction costs.

Financial liabilities are recognised initially at fair value and in the case of loans and borrowings, inclusive of directly attributable transaction costs. The subsequent measurement of financial assets and liabilities depends on their classification as follows:

Trade receivables

Trade receivables are stated at amortised cost using the effective interest method, as reduced by appropriate allowances for estimated irrecoverable amounts. An estimate is made of doubtful receivables based on review of all outstanding amounts at year-end. Bad debts are written off after all efforts of recovery have been exhausted.



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

1. SIGNIFICANT ACCOUNTING POLICIES (Continued)

l) Financial instruments (Continued)

Trade payables

Trade payables are stated at amortised cost using the effective interest method.

Deposit for shares

Deposit for shares represent amount set aside for acquisition of shares pending allotment.

Cash and cash equivalents

The Group considers all balances with less than 90 days maturity from the date of acquisition as cash. The cost of cash equivalent approximates the fair value due to the short term nature thereof.

Borrowings

Interest bearing loans, overdrafts and commercial paper are recorded at the proceeds received, net of direct costs. Finance charges, including the premium payable on settlement or redemption, are accounted for on the accrual basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period in which they arise. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method.

Impairment of financial assets

The Group assesses at each reporting date whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

Evidence of impairment may include indications that the borrower or a group of borrowers is experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganization and where observable data indicate that there is a measurable decrease in the estimated future cash flows,

such as change in arrears or economic conditions that correlate with defaults.

Derecognition of financial assets

i) Financial assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- the rights to receive cash flows from the asset have expired; or
- the company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either;
 - (a) the company has transferred substantially all the risks and rewards of the asset, or
 - (b) the company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, a new asset is recognised to the extent of the company's continuing involvement in the asset.

Continuing involvement that takes the form of a guarantee over the transferred asset, is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including a cash settled option or similar provision) on the transferred asset, the extent of the company's continuing involvement is the amount of the transferred asset that the company may repurchase, except that in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the company's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

1. SIGNIFICANT ACCOUNTING POLICIES (Continued)

l) Financial instruments (Continued)

(ii) Financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires.

When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in the statement of comprehensive income.

Investments in subsidiaries

Investments in subsidiary companies are carried at cost in the separate financial statements, which is the aggregate of the fair values, at the date of exchange, of assets given, liabilities incurred or assumed, and equity instruments issued by the acquirer, in exchange for control of the acquiree, plus any costs directly attributable to the business combination. The carrying amount is reduced to recognise any impairment in the value of individual investments. The impairment loss is taken to the statement of comprehensive income.

m) Property, plant, equipment and depreciation.

Buildings, plant and machinery are measured at fair value less accumulated depreciation and any accumulated impairment. Valuations are performed with sufficient regularity to ensure that the fair value of the revalued asset does not differ materially from its carrying amount.

Increases in the carrying amount arising on revaluations are recognised in other comprehensive income and accumulated in a revaluation reserve, a separate component in equity. Decreases that offset previous increases of the same asset are charged against the revaluation reserve. All other decreases are charged to the statement of comprehensive income.

An annual transfer from the asset revaluation reserve to retained earnings is made for the difference between depreciation based on the revalued carrying amount of the assets and depreciation based on the assets' original cost.

All other assets are stated at cost less accumulated depreciation and any accumulated impairment losses, if any.

Depreciation is calculated on the straight-line basis, at annual rates estimated to write off carrying values of the assets over their expected useful lives. The annual depreciation rates in use are:

Building	2%
Plant and machinery	8% - 10%
Fixtures and fittings	12½%
Motor vehicles	20% - 25%
Computers and equipment	20%

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit. On disposal of revalued assets, amounts in the revaluation reserve relating to that asset are transferred to retained earnings.

The assets' residual values, useful lives and methods of depreciation are reviewed at each financial year end, and adjusted prospectively if appropriate.

n) Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

Intangible assets are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method are reviewed at least at each financial year end.

Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates.



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

1. SIGNIFICANT ACCOUNTING POLICIES (Continued)

n) Intangible assets (Continued)

The amortisation expense on intangible assets is recognised in the statement of comprehensive income in the expense category consistent with the function of the intangible asset.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of comprehensive income when the asset is derecognised.

o) Leases

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at inception date: whether fulfillment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset. For arrangements entered into prior to 1 January 2005, the date of inception is deemed to be 1 January 2005 in accordance with the transitional requirements of IFRIC 4.

Leases of land are classified as operating leases. The costs incurred to acquire the right of use of the land are included in the financial statements as long-term prepayment and amortised on a straight-line basis over the remaining lease period.

Group as a lessee

Finance leases, which transfer to the Group substantially all the risks and benefits incidental to ownership of the leased item, are capitalised at the commencement of the lease at the fair value of the leased property or, if lower, at the present value of the minimum lease payments. Lease payments are apportioned between finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are recognised in the statement of comprehensive income.

Leased assets are depreciated over the useful life of the asset. However, if there is no reasonable certainty that the Group will obtain ownership by the end of the lease term, the asset is

depreciated over the shorter of the estimated useful life of the asset and the lease term.

Operating lease payments are recognised as an expense in the statement of comprehensive income on a straight line basis over the lease term.

Group as a lessor

Leases where the Group does not transfer substantially all the risks and rewards incidental to ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same bases as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

p) Provisions

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events and it is probable that an out flow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made. Where the group expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain.

The expense relating to any provision is presented in profit or loss net of any reimbursement. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a borrowing cost.

q) Impairment of non financial assets

The Group assesses, at each reporting date, whether there is an indication that an asset may be impaired. If such indication exists, the Group makes an estimate of the asset's recoverable amount. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognised in the statement of comprehensive income.



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

1. SIGNIFICANT ACCOUNTING POLICIES (Continued)

q) Impairment of non financial assets (Continued)

An asset's recoverable amount is the higher of an asset's fair value less costs to sell and its value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

An assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the asset's recoverable amount is estimated. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the statement of comprehensive income unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

r) Significant accounting judgements, estimates and assumptions

The preparation of financial statements in conformity with IFRS requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, which have significant effect on the amounts recognised in the financial statements:

Allowances for obsolete inventories

Directors review the inventories on an annual basis to assess the likelihood of obsolescence. In determining whether an inventory item

is obsolete, directors make judgment as to whether the inventory item can be used as an input in production or is in saleable condition.

Impairment of financial instruments

The Group reviews its receivables' portfolio regularly to assess the likelihood of impairment. This requires an estimation of the amounts that are irrecoverable.

Going concern

The Group's management has made an assessment of the Group's ability to continue as a going concern and is satisfied that the Group has the resources to continue in business for the foreseeable future. Furthermore, the management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore the financial statements continue to be prepared on the going concern basis.

Operating Lease Commitments—Group as Lessor

The Group has entered into commercial property leases on some of its property. The Group has determined, based on an evaluation of the terms and conditions of the arrangements, that it retains all the significant risks and rewards of ownership of these properties and so accounts for the contracts as operating leases.

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below:

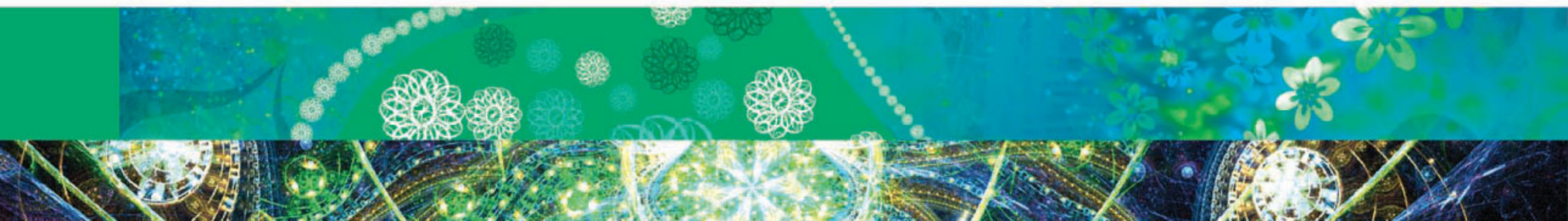
Property, plant and equipment

Directors make estimates in determining the depreciation rates for property and equipment. The rates used are set out in the accounting policy for property and equipment.

These estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the prevailing circumstances.

Impairment of non-financial assets

The Group assesses whether there are any indicators of impairment for all non-financial assets at each reporting date. Non-financial assets are tested for impairment when there are indicators that the carrying amounts may not be recoverable.



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

2 NEW ACCOUNTING STANDARDS, AMENDMENTS AND INTERPRETATIONS

The Group has adopted the following standards, amendments and interpretations to published standards which are mandatory for accounting periods beginning on or after 1 January 2010.

IFRS 2 (amendment), 'Group cash-settled share-based payment transactions', effective from 1 January 2010. In addition to incorporating IFRIC 8, 'Scope of IFRS 2', and IFRIC 11, 'IFRS 2 – group and treasury share transactions', the amendments expand on the guidance in IFRIC 11 to address the classification of bank arrangements that were not covered by that interpretation. The adoption of this amendment did not have any impact on the Group.

IFRS 3 (Revised), 'Business Combinations', effective on or after 1 July 2009. IFRS 3 (Revised) introduces significant changes in the accounting for business combinations occurring after becoming effective. Changes affect the valuation of non-controlling interest, the accounting for transaction costs, the initial recognition and subsequent measurement of a contingent consideration and business combinations achieved in stages. These changes will impact the amount of goodwill recognised, the reported results in the period that an acquisition occurs and future reported results.

IAS 27 (Amended), 'Consolidated and Separate Financial Statements', requires that a change in the ownership interest of a subsidiary (without loss of control) is accounted for as a transaction with owners in their capacity as owners. Therefore, such transactions will no longer give rise to goodwill, nor will it give rise to a gain or loss. Furthermore, the amended standard changes the accounting for losses incurred by the subsidiary as well as the loss of control of a subsidiary. The changes by IFRS 3 (Revised) and IAS 27 (Amended) affect acquisitions or loss of control of subsidiaries and transactions with non-controlling interests after 1 January 2010.

IAS 39 (Amended), 'Financial Instruments: Recognition and Measurement' – Eligible Hedged Items. The amendment clarifies that an entity is permitted to designate a portion of the fair value changes or cash flow variability of a financial instrument as a hedged item. This also covers the designation of inflation

as a hedged risk or portion in particular situations. The Group has concluded that the amendment will have no impact on the financial position or performance of the Group, as the Group has not entered into any such hedges.

IFRIC 17, 'Distribution of non-cash assets to owners', effective on or after 1 July 2009. The interpretation was published in November 2008. This interpretation provides guidance on accounting for arrangements whereby an entity distributes non-cash assets to shareholders either as a distribution of reserves or as dividends. IFRS 5 has also been amended to require that assets are classified as held for distribution only when they are available for distribution in their present condition and the distribution is highly probable. The adoption of this interpretation did not have any impact on the Group.

Improvements to IFRSs

In May 2008 and April 2009, the IASB issued omnibus of amendments to its standards, primarily with a view to removing inconsistencies and clarifying wording. There are separate transitional provisions for each standard. The adoption of the following amendments where relevant resulted in changes to accounting policies but did not have any impact on the financial position or performance of the Group.

Issued in May 2008

IFRS 5 Non-current Assets Held for Sale and Discontinued Operations: clarifies that when a subsidiary is classified as held for sale, all its assets and liabilities are classified as held for sale, even when the entity remains a non-controlling interest after the sale transaction.

Issued in April 2009

IFRS 5 Non-current Assets Held for Sale and Discontinued Operations: clarifies that the disclosures required in respect of non-current assets and disposal groups classified as held for sale or discontinued operations are only those set out in IFRS 5. The disclosure requirements of other IFRSs only apply if specifically required for such non-current assets or discontinued operations.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

2 NEW ACCOUNTING STANDARDS, AMENDMENTS AND INTERPRETATIONS (Continued)

IFRS 8 Operating Segments: clarifies that segment assets and liabilities need only be reported when those assets and liabilities are included in measures that are used by the chief operating decision maker.

IAS 7 (amendment), 'Statement of Cash Flows' effective on or after 1 January 2010. The amendments to IAS 7 (as part of Improvements to IFRSs issued in 2009) specify that only expenditures that result in a recognised asset in the statement of financial position can be classified as investing activities in the statement of cash flows.

IFRIC 9, 'Reassessment of embedded derivatives and IAS 39, Financial instruments: Recognition and measurement', effective 1 July 2009. This amendment to IFRIC 9 requires an entity to assess whether an embedded derivative should be separated from a host contract when the entity reclassifies a hybrid financial asset out of the 'fair value through profit or loss' category.

This assessment is to be made based on circumstances that existed on the later of the date the entity first became a party to the contract and the date of any contract amendments that significantly change the cash flows of the contract. If the entity is unable to make this assessment, the hybrid instrument must remain classified as at fair value through profit or loss in its entirety.

IAS 1 (amendment), 'Presentation of financial statements', effective 1 January 2010. The amendment clarifies that the potential settlement of a liability by the issue of equity is not relevant to its classification as current or non-current.

By amending the definition of current liability, the amendment permits a liability to be classified as non-current (provided that the entity has an unconditional right to defer settlement by transfer of cash or other assets for at least 12 months after the accounting period) notwithstanding the fact that the entity could be required by the counterparty to settle in shares at any time.

IAS 36 (amendment), 'Impairment of assets', effective 1 January 2010. The amendment clarifies that the largest cash-generating unit (or group of units) to which goodwill should be allocated for the purposes of impairment testing is an operating segment, as defined by paragraph 5 of IFRS 8, 'Operating segments' (that is, before the aggregation of segments with similar economic characteristics).

IAS 38 (amendment), 'Intangible assets', effective 1 January 2010. The amendment clarifies guidance in measuring the fair value of an intangible asset acquired in a business combination and permits the grouping of intangible assets as a single asset if each asset has similar useful economic lives.

At the date of authorisation of these financial statements, the following Standards and Interpretations were in issue but not yet effective for the group's operations and which the group has not early adopted:

IFRS 9, 'Financial Instruments: Classification and Measurement', was issued in November 2009. This standard is the first step in the process to replace IAS 39, 'Financial instruments: recognition and measurement'. IFRS 9 introduces new requirements for classifying and measuring financial assets and is likely to affect the group's accounting for its financial assets. The standard is not applicable until 1 January 2013 but is available for early adoption.

IAS 24 (Amendment), 'Related party disclosures (Revised)' was issued in November 2009. It supersedes IAS 24, 'Related party disclosures', issued in 2003. IAS 24 (revised) is mandatory for periods beginning on or after 1 January 2011. Earlier application, in whole or in part, is permitted.

The revised standard clarifies and simplifies the definition of a related party and removes the requirement for government-related entities to disclose details of all transactions with the government and other government-related entities. The group will apply the revised standard from 1 January 2011. The group is currently putting systems in place to capture the necessary information. The Group does not expect any impact on its financial position or performance.

IAS 32 (amendment), 'Financial Instruments: Presentation – Classification of Rights Issue' was issued in October 2009. The amendment applies to annual periods beginning on or after 1 February 2010. Earlier application is permitted.

The amendment addresses the accounting for rights issues that are denominated in a currency other than the functional currency of the issuer. Provided certain conditions are met, such rights issues are now classified as equity regardless of the currency in which the exercise price is denominated. Previously, these issues had to be accounted for as derivative liabilities.



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

2 NEW ACCOUNTING STANDARDS, AMENDMENTS AND INTERPRETATIONS (Continued)

The amendment applies retrospectively in accordance with IAS 8 'Accounting policies, changes in accounting estimates and errors'. The group will apply the amended standard from 1 January 2011.

This amendment will have no impact on the Group after initial application.

IFRIC 14 (amendment), 'Prepayments of a minimum funding requirement' effective for annual periods beginning 1 January 2011. The amendment corrects an unintended consequence of IFRIC 14, 'IAS 19 – The limit on a defined benefit asset, minimum funding requirements and their interaction'.

Without the amendments, entities are not permitted to recognise as an asset some voluntary prepayments for minimum funding contributions.

This was not intended when IFRIC 14 was issued, and the amendments correct this. Earlier application is permitted. The amendment should be applied retrospectively to the earliest comparative period presented.

IFRIC 19, 'Extinguishing financial liabilities with equity instruments' is effective from 1 July 2010. The interpretation clarifies the accounting by an entity when the terms of a financial liability are renegotiated and result in the entity issuing equity instruments to a creditor of the entity to extinguish all or part of the financial liability (debt for equity swap).

It requires a gain or loss to be recognised in profit or loss, which is measured as the difference between the carrying amount of the financial liability and the fair value of the equity instruments issued.

If the fair value of the equity instruments issued cannot be reliably measured, the equity instruments should be measured to reflect the fair value of the financial liability extinguished.

Improvements to IFRSs (issued in May 2010)

The IASB issued Improvements to IFRSs, an omnibus of amendments to IFRSs. The amendments have not been adopted as they become effective for annual periods on or after either 1 July 2010 or 1 January 2011.

The amendments are listed below;

- IFRS 3, Business Combinations
- IFRS 7, Financial Instruments: Disclosures
- IAS 1, Presentation of Financial Statements
- IAS 27, Consolidated and Separate Financial Statements
- IFRIC 13, Customer Loyalty Programmes

The Group, however, expects no impact from the adoption of the amendments on its financial position or performance.



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

	Buildings Kshs '000	Plant & Machinery Kshs '000	Motor Vehicles Kshs '000	Fixtures, Fittings & Equipment Kshs '000	Totals Kshs '000
3. PROPERTY, PLANT AND EQUIPMENT (GROUP)					
Year ended 31 December 2010					
Cost or valuation					
At 1 January 2010	260,235	326,573	62,986	261,397	911,191
Additions	896	5,861	8,417	28,344	43,518
Disposals	-----	-----	(670)	(233)	(903)
At 31 December 2010	261,131	332,434	70,733	289,508	953,806
Comprising:					
Valuation	162,344	51,921	-----	-----	214,265
Cost	98,787	280,513	70,733	289,508	739,541
	261,131	332,434	70,733	289,508	953,806
Accumulated depreciation					
At 1 January 2010	49,946	172,875	35,623	156,099	414,543
Charge for the year	4,731	19,088	10,645	41,024	75,488
Eliminated on disposals	-----	-----	(660)	(16)	(676)
At 31 December 2010	54,677	191,963	45,608	197,107	489,355
Net Book Value					
At 31 December 2010	206,454	140,471	25,125	92,401	464,451



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

	Buildings Kshs '000	Plant & Machinery Kshs '000	Motor Vehicles Kshs '000	Fixtures, Fittings & Equipment Kshs '000	Totals Kshs '000
3. PROPERTY, PLANT AND EQUIPMENT (GROUP)					
Year ended 31 December 2009					
Cost or valuation					
At 1 January 2009	259,499	308,860	74,171	228,700	871,230
Additions	736	17,713	9,075	32,697	60,221
Impairment	-----	-----	(1,621)	-----	(1,621)
Disposals	-----	-----	(18,639)	-----	(18,639)
At 31 December 2009	260,235	326,573	62,986	261,397	911,191
Comprising:					
Valuation	162,344	51,921	-----	-----	214,265
Cost	97,891	274,652	62,986	261,397	696,926
	260,235	326,573	62,986	261,397	911,191
Accumulated depreciation					
At 1 January 2009	44,756	151,956	40,315	120,696	357,723
Charge for the year	5,190	20,919	11,896	35,403	73,408
Impairment	-----	-----	(1,621)	-----	(1,621)
Eliminated on disposals	-----	-----	(14,967)	-----	(14,967)
At 31 December 2009	49,946	172,875	35,623	156,099	414,543
Net Book Value					
At 31 December 2009	210,289	153,698	27,363	105,298	496,648



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

If the buildings and plant and machinery were measured using the cost model, the carrying amount would be as follows:

	2010 Kshs '000	2009 Kshs '000
3. PROPERTY, PLANT AND EQUIPMENT (GROUP)		
Cost	415,158	372,543
Accumulated depreciation	(220,459)	(145,647)
	194,699	226,896



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

	Buildings Kshs '000	Plant & Machinery Kshs '000	Motor Vehicles Kshs '000	Fixtures, Fittings & Equipment Kshs '000	Totals Kshs '000
3. PROPERTY, PLANT AND EQUIPMENT (COMPANY)					
Year ended 31 December 2010					
Cost or valuation					
At 1 January 2010	260,235	248,454	54,744	245,372	808,805
Additions	896	4,750	7,649	26,000	39,295
Disposals	-----	-----	(670)	-----	(670)
At 31 December 2010	261,131	253,204	61,723	271,372	847,430
Comprising:					
Valuation	162,344	51,921	-----	-----	214,265
Cost	98,787	201,283	61,723	271,372	633,165
	261,131	253,204	61,723	271,372	847,430
Accumulated depreciation					
At 1 January 2010	48,354	134,748	29,339	147,441	359,882
Charge for the year	4,731	13,548	9,401	39,551	67,231
Eliminated on disposals	-----	-----	(660)	-----	(660)
At 31 December 2010	53,085	148,296	38,080	186,992	426,453
Net Book Value					
At 31 December 2010	208,046	104,908	23,643	84,380	420,977

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

	Buildings Kshs '000	Plant & Machinery Kshs '000	Motor Vehicles Kshs '000	Fixtures, Fittings & Equipment Kshs '000	Totals Kshs '000
3. PROPERTY, PLANT AND EQUIPMENT (COMPANY)					
Year ended 31 December 2009					
Cost or valuation					
At 1 January 2009	259,497	239,939	65,564	214,968	779,968
Additions	738	8,515	7,819	30,404	47,476
Disposals	-----	-----	(18,639)	(18,639)	
At 31 December 2009	260,235	248,454	54,744	245,372	808,805
Comprising:					
Valuation	162,344	51,921	-----	-----	214,265
Cost	97,891	196,533	54,744	245,372	594,540
	260,235	248,454	54,744	245,372	808,805
Accumulated depreciation					
At 1 January 2009	43,164	119,374	33,310	113,382	309,230
Charge for the year	5,190	15,374	10,996	34,059	65,619
Eliminated on disposals	-----	- -----	(14,967)	-----	(14,967)
At 31 December 2009	48,354	134,748	29,339	147,441	359,882
Net Book Value					
At 31 December 2009	211,881	113,706	25,405	97,931	448,923



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

If the buildings and plant and machinery were measured using the cost model, the carrying amount would be as follows:

	2010 Kshs '000	2009 Kshs '000
3. PROPERTY, PLANT AND EQUIPMENT (COMPANY)		
Cost	300,071	294,424
Accumulated depreciation	(118,231)	(107,521)
	181,840	186,903

All the assets other than fixtures, fittings and equipment and motor vehicles were revalued on 31 March 2006.

The revaluation amounts were incorporated in these financial statements.

The basis of valuation was: -

Leasehold buildings	Open market value
Plant and machinery	Open market value

The valuation was undertaken by independent professional valuers, Kiragu & Mwangi Limited.

The revaluation surplus was credited to capital reserve while the revaluation deficit was charged to the statement of comprehensive income as an exceptional item.

The fixtures, fittings and equipment and motor vehicles are stated at cost.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

	GROUP		COMPANY	
	2010	2009	2010	2009
	Kshs '000	Kshs '000	Kshs '000	Kshs '000
4. INTANGIBLE ASSETS				
Cost				
At 1 January	53,849	41,936	53,068	41,936
Additions	1,186	11,913	1,186	11,132
At 31 December	55,035	53,849	54,254	53,068
Amortisation				
At 1 January	28,030	7,226	28,000	7,226
Charge for the year	8,742	10,304	8,586	10,274
Impairment of intangible asset	-----	10,500	-----	10,500
At 31 December	36,772	28,030	36,586	28,000
Net Book Value	18,263	25,819	17,668	25,068

Intangible assets relate to computer software



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

	GROUP		COMPANY	
	2010	2009	2010	2009
	Kshs '000	Kshs '000	Kshs '000	Kshs '000
5. PREPAID LEASES				
Cost				
At 1 January	13,000	13,000	13,000	13,000
Amortisation				
At 1 January	3,181	2,916	3,181	2,916
Charge for the year	265	265	265	265
At 31 December	3,446	3,181	3,446	3,181
Net Book Value	9,554	9,819	9,554	9,819

The prepaid leases on land consist of three leases as follows:

- Mogadishu Road factory - amortised over the lease period of 89 years. The un-expired lease period as at 31 December 2010 is 36 years.
- Likoni Road offices - amortised over the lease period of 89 years. The un-expired lease period as at 31 December 2010 is 36 years.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

6. INVESTMENT IN SUBSIDIARIES

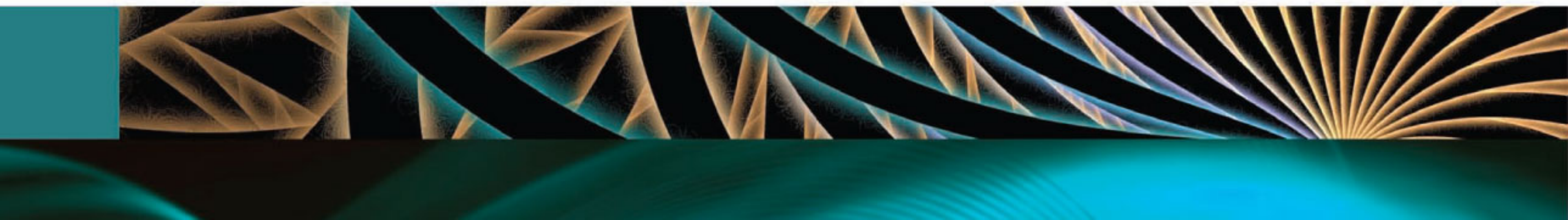
Details of Investment	Country of Incorporation	Activity	COMPANY	
			2010 Kshs '000	2009 Kshs '000
Crown-Berger Allied Industries Limited (10,000 ordinary shares of KShs 1,000 each)	Kenya	Manufacture of adhesives	10,000	10,000
Crown Buildings and Products Limited -Uganda (5,000 ordinary shares of KShs 400 each)	Uganda	Selling of auto paints and decorative products	2,000	2,000
			12,000	12,000

Crown-Berger Kenya Limited owns 100% of Crown-Berger Allied Industries Limited and Crown Buildings and Products Limited - Uganda.

7. DEPOSIT FOR SHARES

	COMPANY	
	2010 Kshs '000	2009 Kshs '000
Crown Buildings and Products Limited	80,000	80,000
Crown-Berger Allied Industries Limited	124,028	124,028
	204,028	204,028

This relates to deposit made in Crown Buildings and Products Limited - Uganda and amounts due from Crown-Berger Allied Industries Limited capitalised but pending allotment of shares.



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

8. INVENTORIES	GROUP		COMPANY	
	2010	2009	2010	2009
	Kshs '000	Kshs '000	Kshs '000	Kshs '000
Finished goods	203,727	225,699	189,070	207,258
Raw materials	193,806	235,013	175,754	205,163
Goods in transit	48,252	58,610	48,252	58,610
	445,785	519,322	413,076	471,031

The amount of inventories expensed during the year is KShs. 1,659,208 (2009: KShs. 1,464,570) for the group and KShs. 1,630,147 (2009: KShs. 1,434,525) for the company, which is recognised in cost of sales.

There was no impairment of inventories during the year.

9. TRADE AND OTHER RECEIVABLES	GROUP		COMPANY	
	2010	2009	2010	2009
	Kshs '000	Kshs '000	Kshs '000	Kshs '000
Trade receivables	497,366	412,828	408,446	336,948
Other receivables	12,529	39,714	2,402	25,537
Prepayments	40,998	14,624	40,924	13,450
	550,893	467,166	451,772	375,935

As at 31 December 2010, trade receivables at initial value of KShs 93,774,000 (2009: KShs 80,693,000) were impaired and fully provided for.

See below for the movements in the provision of impairment of receivables.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

9. TRADE AND OTHER RECEIVABLES (Continued)

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
At beginning	80,693	56,102	80,195	55,557
Charge for the year	38,860	62,393	11,383	45,133
Used during the year (write-off)	(3,214)	(620)	(3,214)	(620)
Unused amounts reversed (recoveries)	(22,565)	(37,182)	(19,887)	(19,875)
	93,774	80,693	68,477	80,195
Ageing analysis				
Less than 30 days (neither past due nor impaired)	300,229	218,189	270,403	149,115
31 to 60 days	82,006	97,757	72,872	95,281
61 days to 90 days	46,709	28,626	35,704	27,037
Over 90 days	162,196	148,949	97,944	145,710
	591,140	493,521	476,923	417,143
Impaired	(93,774)	(80,693)	(68,477)	(80,195)
Due but not impaired	497,366	412,828	408,446	336,948

Trade receivables are non-interest bearing.



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

10. RELATED PARTIES AND RELATED PARTY TRANSACTIONS

The Company is controlled by Crown Paints and Building Products Limited (incorporated in Kenya) which owns 48% of the Company's shares.

Barclay Holdings Limited incorporated in Belize Off-Shore Centre holds 13.62% of the Company's shares.

Crown Paints and Building Products Limited is a wholly owned subsidiary of Barclay Holdings Limited. Thus the ultimate parent Company for Crown Berger Kenya Limited is Barclay Holdings Limited.

The remaining 38% of the shares are widely held. Crown-Berger Allied Industries Limited and Crown Buildings and Products Limited - Uganda are wholly owned subsidiaries of the Company.

The following transactions were carried out with related parties:

	GROUP		COMPANY	
	2010	2009	2010	2009
	Kshs '000	Kshs '000	Kshs '000	Kshs '000
(i) Sale and services rendered:				
Crown-Berger Allied Industries Limited	-----	-----	4,869	12,570
Crown Buildings and Products Limited - Uganda	-----	-----	75,128	66,902
Purchase of goods				
Crown-Berger Allied Industries Limited	-----	-----	27,258	29,151
Services rendered				
Daxian Limited	180,933	136,543	180,933	136,543
(ii) Outstanding balances arising from sale and services rendered:				
Receivables from related parties:				
Crown Paints and Building Products Limited	371,255	269,034	371,255	269,034
Crown-Berger Allied Industries Limited	-----	-----	4,371	-----
Crown Building and Products Limited - Uganda	-----	-----	158,484	108,986
	371,255	269,034	534,110	378,020

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

10. RELATED PARTIES AND RELATED PARTY TRANSACTIONS

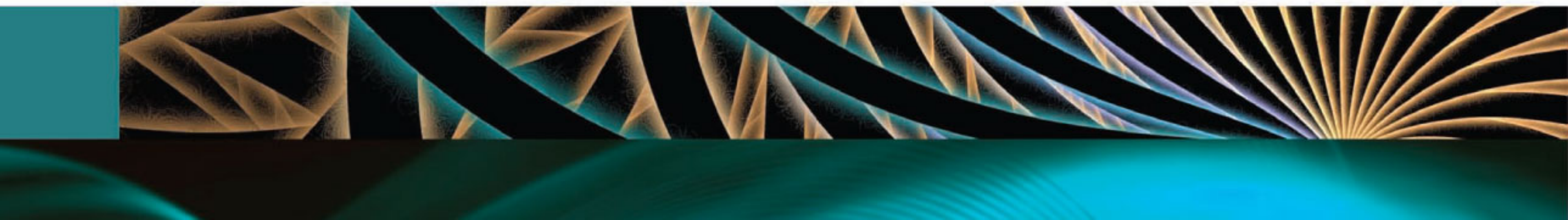
(Continued)

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Payables to related parties:				
Crown Paints and Building Products Limited	17,961	454	17,961	454
Crown-Berger Allied Industries Limited	-----	-----	3,352	4,854
Daxian Limited	321,767	163,749	321,767	163,749
	339,728	164,203	343,080	169,057
(iii) Key management personnel compensation				
Remuneration	72,624	60,167	72,624	58,766
Retirement benefits	1,691	3,108	1,691	3,108
	74,315	63,275	74,315	61,874

Terms and conditions of transactions with related parties

Amount due from and due to related parties are non interest bearing and current.

The balances relate to transactions entered into with the subsidiary companies at arm's length in the ordinary course of business.



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

11. TAXATION

	GROUP		COMPANY	
	2010	2009	2010	2009
	Kshs '000	Kshs '000	Kshs '000	Kshs '000
STATEMENT OF FINANCIAL POSITION				
Balance brought forward	5,455	4,890	1,144	5,322
Charge for the year	(94,054)	(47,635)	(94,054)	(47,635)
Under-provision in previous year	(14)	(373)	(14)	(373)
Payments during the year	50,984	48,573	51,284	43,830
Tax recoverable	(37,629)	5,455	(41,640)	1,144
STATEMENT OF COMPREHENSIVE INCOME				
Current tax at 30 % on the taxable profit for the year	94,054	47,635	94,054	47,635
Under-provision in previous year	14	373	14	373
Deferred tax	(16,005)	5,502	(16,005)	5,502
	78,063	53,510	78,063	53,510
Reconciliation of taxation expense to tax based on accounting profit				
Accounting profit before tax	169,480	139,818	226,683	205,735
Tax at applicable rate of 30%	50,844	41,945	68,005	61,721
Tax effects on items not deducted for tax	22,647	(11,464)	22,647	(11,464)
Tax effect on expenses not deductible for tax purposes	4,558	22,656	(12,603)	2,880
Under-provision in previous year	14	373	14	373
	78,063	53,510	78,063	53,510

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

12. SHARE CAPITAL

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Authorised:				
25,000,000 ordinary shares of KShs.5 each	125,000	125,000	125,000	125,000
Issued and fully paid:				
23,727,000 (2008: 23,727,000) ordinary shares of KShs.5 each	118,635	118,635	118,635	118,635

13. RESERVES

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Share premium	80,174	80,174	80,174	80,174
Revaluation reserve	88,626	93,486	129,002	133,862
Retained earnings	585,251	514,989	763,805	636,340
	754,051	688,649	972,981	850,376

Asset revaluation reserve

The asset revaluation reserve is used to record increases in the fair value of land and buildings and decreases to the extent that such decrease relates to an increase on the same asset previously recognised in equity.



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

14. PROPOSED DIVIDENDS

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Final	29,659	29,659	29,659	29,659
Dividend per ordinary share	KShs 1.25	KShs 1.25	KShs 1.25	KShs 1.25

Dividend per share is calculated on dividends of KShs 29,658,750 (2009: KShs 29,658,750) and on the number of shares in issue at the respective Statement of financial position dates. Payment of the dividends is subject to withholding tax at the rate of 5% for residents and 10% for non-residents.

15. DEFERRED TAX LIABILITY

Movements in deferred tax during the year were as follows:

	GROUP		COMPANY	
	Balance at 1 January Kshs '000	Statement of Comprehensive income Kshs '000	Equity Kshs '000	Balance at 31 December Kshs '000
Year end 31 December 2010				
Accelerated capital allowances	57,430	(4,661)	-----	52,769
Unrealised exchange gain	2,871	(2,871)	-----	-----
Unrealised exchange loss	(958)	32	-----	(926)
Revaluation reserve	41,682	-----	(3,644)	38,038
Provision for staff leave	(3,165)	(8,505)	-----	(11,670)
	97,860	(16,005)	(3,644)	78,211
Year end 31 December 2009				
Accelerated capital allowances	57,430	-----	-----	57,430
Unrealised exchange gain	93	2,778	-----	2,871
Unrealised exchange loss	(4,027)	3,069	-----	(958)
Revaluation reserve	45,326	-----	(3,644)	41,682
Provision for staff leave	(2,820)	(345)	-----	(3,165)
	96,002	5,502	(3,644)	97,860



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

16. BANK OVERDRAFT

The bank overdraft facility from Kenya Commercial Bank Limited is to the extent of KShs. 70 million and is secured by debenture of KShs. 398 million over the assets of the Group supported by a supplementary charge over LR 209/5792 along Mogadishu Road and LR 209/4275 along Likoni Road.

The weighted average interest rate on the overdraft at year-end was 11.25% (2009: 15%).

17. INTEREST BEARING LOANS AND BORROWINGS

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Amounts falling due within one year	83,415	42,585	83,415	42,585

The loan facility relates to post import financing from Kenya Commercial Bank Limited is secured by debenture of KShs. 525 million over the assets of the Group supported by a supplementary charge over LR 209/5792 along Mogadishu Road and LR 209/4275 along Likoni Road.

The weighted average interest rate on the loan at year-end was 6% (2009: 7.35%)

18. COMMERCIAL PAPER

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Amounts falling due within one year	113,403	276,013	113,403	276,013

The interest rate on the commercial paper is at treasury bills interest rate plus 1.5%.



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

19. TRADE AND OTHER PAYABLES

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Amounts falling due within one year				
Trade payables	279,664	370,961	256,470	338,348
Other payables	23,698	10,126	18,527	5,750
Accruals	89,357	34,540	86,710	31,680
	392,719	415,627	361,707	375,778

20. REVENUE

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Decorative paints	2,561,235	2,231,346	2,492,501	2,160,361
Industrial paints	311,537	123,684	311,537	123,684
V.R. range	179,268	180,444	179,268	180,444
Adhesives	15,389	7,876	-----	-----
Others	1,039	307	-----	-----
	3,068,468	2,543,657	2,983,306	2,464,489

NOTES TO THE FINANCIAL STATEMENTS

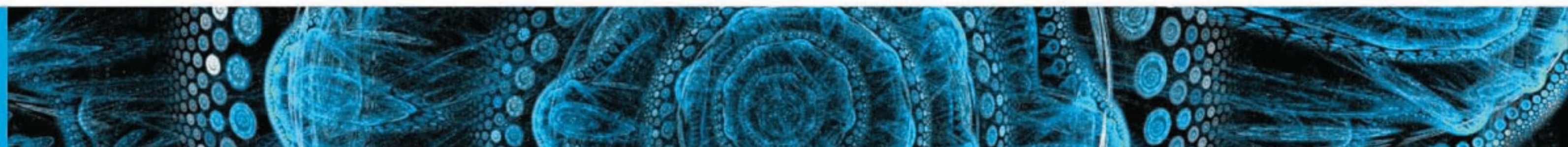
FOR THE YEAR ENDED 31 DECEMBER 2010

21. COST OF SALES

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Raw materials	1,705,351	1,464,570	1,676,290	1,434,525
Salaries and wages	62,386	51,204	60,267	48,373
Depreciation on plant and machinery	50,718	50,027	45,178	44,483
Machinery repairs and maintenance	35,503	24,454	24,817	24,451
Fuel, water and electricity	14,396	25,876	14,270	25,173
Others	21,267	3,672	21,078	3,207
	1,889,621	1,619,803	1,841,900	1,580,212

22. OTHER INCOME

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Gain on disposal of plant and equipment	114	1,526	99	1,526
Interest income	607	-----	573	725
Miscellaneous income	2,318	4,300	783	2,915
Foreign exchange gain	-----	15,445	-----	19,796
Operating lease income	17,004	12,552	14,484	10,032
mpairments recovered	22,565	19,875	19,887	19,875
	42,608	53,698	35,826	54,869



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

23. DIVIDEND INCOME

Dividend income from Twiga Limited arose on dissolution of the company during the year.

24. ADMINISTRATION AND ESTABLISHMENT EXPENSES

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Staff costs	280,430	245,908	262,321	228,597
Depreciation	24,770	23,381	22,053	21,137
Auditors' remuneration	5,937	4,671	4,000	3,500
Directors' emoluments:				
As directors	7,413	7,110	7,413	7,110
As executives	38,211	28,887	38,211	28,887
Legal and professional fees	14,587	18,626	8,377	13,784
Amortisation of prepaid leases on land	265	265	265	265
Amortisation of intangible assets	8,742	10,304	8,586	10,274
Impairment of intangible assets	-----	10,500	-----	10,500
Insurance	21,125	15,864	18,211	14,805
Foreign exchange loss	20,470	-----	16,824	-----
Office expenses	37,798	39,153	29,527	31,776
Consultancy fees	90,716	75,661	95,828	74,387
Computer costs	12,249	16,387	12,249	16,387
Trade licences	14,519	12,648	14,519	12,648
Maintenance, subscriptions and donations	13,669	8,158	9,551	7,008
Bank charges	9,996	8,693	9,908	7,881
Impairment of goodwill	-----	13,497	-----	-----
Others	47,758	21,439	23,162	6,109
Impairment of other receivables	16,403	581	16,403	581
	665,058	561,733	597,408	495,636

NOTES TO THE FINANCIAL STATEMENTS

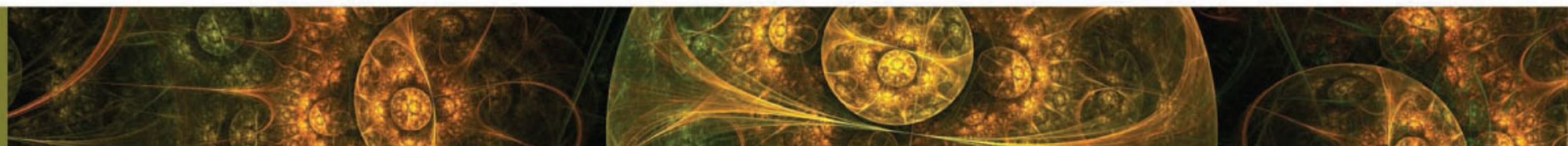
FOR THE YEAR ENDED 31 DECEMBER 2010

25. SELLING AND DISTRIBUTION

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Transport	69,205	71,721	69,205	68,905
Advertising and promotion	208,800	100,713	202,989	88,011
Allowance for bad debts	38,860	62,393	11,383	45,133
Depot expenses	38,753	37,416	38,753	37,416
Others	3,561	6,788	3,561	615
	359,179	279,031	325,891	240,080

26. FINANCE COSTS

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Interest on loan and overdraft	7,028	11,955	6,540	11,955
Others	20,710	36,249	20,710	36,974
	27,738	48,204	27,250	48,929



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

27. PROFIT BEFORE TAX

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
The profit before tax is stated after charging: -				
Depreciation	75,488	73,408	67,231	65,619
Amortisation of prepaid leases on land	265	265	265	265
Amortisation of intangible assets	8,742	13,804	8,586	10,274
Directors emoluments:				
As directors	7,413	7,110	7,413	7,110
As Executives	38,211	28,887	38,211	28,887
Auditors' remuneration	5,937	4,671	4,000	3,500
Interest payable	27,738	48,204	27,250	48,929
Foreign exchange losses	20,470	-----	16,824	-- -----
And after crediting: -				
Interest income	607	-----	573	725
Foreign exchange gain	-----	15,445	-----	19,796
Dividend income	-----	51,234	-----	51,234
Gain on disposal of property, plant and equipment	114	1,526	99	1,526

29. EARNINGS PER SHARE

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Net profit attributable to ordinary shareholders	91,417	86,308	148,620	152,225
Weighted average number of ordinary shares in '000'	23,727	23,727	23,727	23,727

- Basic earnings per share is calculated on the profit after tax and on the average number of ordinary shares in issue during the year.
- Diluted earnings per share is calculated on the profit after tax and on the average number of ordinary and bonus shares in issue.
- The basic and diluted earnings per share are the same.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

29. CASH AND CASH EQUIVALENTS

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Cash and cash equivalents included in the statement of cash flows comprise the following statement of financial position amounts:				
Cash and cash equivalents	112,136	65,189	104,433	59,216
Bank overdraft	(24,887)	(25,221)	(24,887)	(25,221)
	87,249	39,968	79,546	33,995

30. OTHER FACILITIES GRANTED BY THE BANKERS

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Letters of credit	100,100	104,000	100,100	104,000
Guarantees given by bankers	20,000	20,000	20,000	20,000
	120,100	124,000	120,100	124,000



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

31. OPERATING LEASE COMMITMENTS

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
AS LESSEE:				
The total future minimum lease payments due to third parties under non-cancellable operating leases are as follows:				
Within 1 year	124	124	124	124
Within 5 years	620	620	620	620
More than 5 years	3,844	3,968	3,844	3,968
	4,588	4,712	4,588	4,712
Lease commitments relate to lease rentals for LR No. 209/5792 and LR No. 209/4275.				
AS LESSOR:				
The total future minimum rental receivables from third parties under non-cancellable operating leases is as follows:				
Within 1 year	8,519	10,139	8,519	7,390
Within 5 years	29,239	35,652	29,239	29,239
	37,758	45,791	37,758	36,629

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

32. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group's principal financial liabilities comprise bank loans and overdrafts, commercial paper and trade payables.

The main purpose of these financial liabilities is to raise finance for the Group's operations.

The Group has various financial assets such as trade receivables and cash and short-term deposits, which arise directly from its operations.

The main risks arising from the Group's financial instruments are cash flow interest rate risk, liquidity risk, foreign currency risk and credit risk. The Board of Directors reviews and agrees policies for managing each of these risks which are summarised below:

Interest rate risk

The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's loan, bank overdraft and commercial paper.

The Group manages its interest rate risk by having a balanced portfolio of fixed and variable rate loans and borrowings. The Group's exposure to the risks associated with changes in interest rates is minimal as its borrowings are pegged to interest rates that were agreed in advance and do not change regularly.

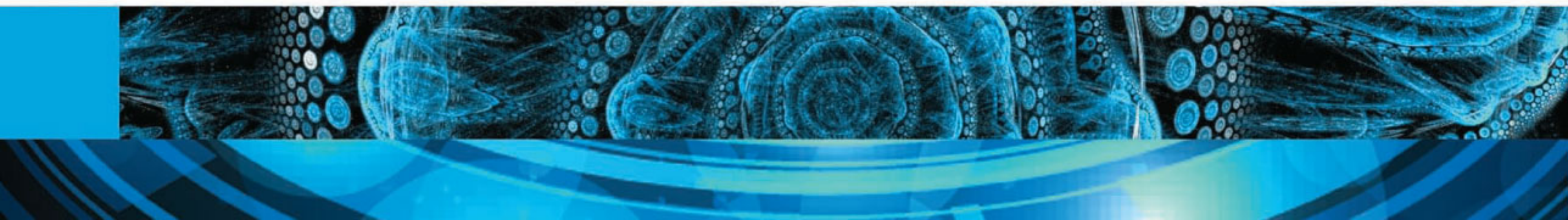
Foreign currency risk

The Group's main operations are concentrated in Kenya and its assets and liabilities are reported in the local currency. It has transactions in foreign currency which are mainly denominated in US Dollars.

The balances in foreign currencies were as follows:

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Assets in foreign currencies				
Trade and other receivables	-----	-----	-----	-----
Amounts due from related companies	-----	-----	158,484	108,986
Foreign currency assets	-----	-----	158,484	108,986
Liabilities in foreign currencies				
Payables	(74,207)	(182,859)	(74,207)	(182,859)
Net foreign currency asset / (liability) position	(74,207)	(182,859)	84,277	(73,873)

The Group makes sales in other countries in the respective foreign currency. It is thus exposed to movements in foreign currency exchange rates.



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

32. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

The following table demonstrates the sensitivity to a reasonably possible change in USD, with all other variables held constant, of the Group's and the Company's profit before tax (due to changes in the fair value of monetary assets and liabilities).

	GROUP		COMPANY	
	2010 Kshs '000	2009 Kshs '000	2010 Kshs '000	2009 Kshs '000
Increase in US\$ by 4% (2009-4%)	(7,924)	(7,314)	(7,924)	(7,314)
Decrease in US\$ by 4% (2009-4%)	7,924	7,314	7,924	7,314

Credit risk

The Group trades only with recognised, creditworthy third parties.

It is the Group's policy that all customers who wish to trade on credit terms are subject to credit verification procedures.

The credit controller assesses the credit quality of each customer taking into account its financial position, past experience and other factors.

Individual risk limits are set based on internal ratings in accordance with limits set by management.

Utilisation of credit limits is regularly monitored. Refer to note 9 for the maximum exposure to the Group and company.

Liquidity risk

Liquidity risk is the risk that cash may not be available to pay obligations when due at a reasonable cost.

Prudent liquidity risk management includes maintaining sufficient cash.

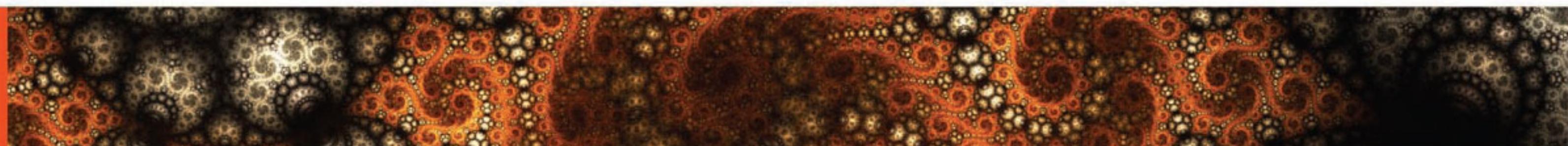
Management monitors rolling forecasts of the Group's liquidity reserve on the basis of expected cash flow.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

Liquidity risk

	GROUP		COMPANY	
	On Demand	Less than	3 to 12	Total
	Kshs '000	3 months	months	Kshs '000
		Kshs '000	Kshs '000	
Year end 31 December 2010				
Bank overdraft	-----	24,887	-----	24,887
Interest bearing loan	-----	83,415	-----	83,415
Commercial paper	-----	113,403	-----	113,403
Trade and other payables	-----	284,273	108,446	392,719
Amounts due to related party	-----	49,982	289,746	339,728
Tax payable	-----	37,629	-----	37,629
		593,589	398,192	991,781
Year end 31 December 2009				
Bank overdraft	-----	25,221	-----	25,221
Interest bearing loan	21,743	20,842	-----	42,585
Commercial paper	108,228	162,925	4,860	276,013
Trade and other payables	144,280	110,084	161,263	415,627
Amounts due to related party	-----	54,288	109,915	164,203
	274,251	373,360	276,038	923,649



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

33. CAPITAL RISK MANAGEMENT

Capital includes equity attributable to the equity holders of the parent.

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating, healthy capital ratios, safeguard its ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital in order to support its business and maximise shareholder value.

The Group's capital requirements are currently met through internally generated funds from operations.

To maintain capital structure, the Group may adjust dividend payment to shareholders.

34. OPERATING SEGMENT INFORMATION

The primary segment reporting format is determined to be operating segments as the Group's risks and rates of returns are affected predominantly by differences in the products produced.

The operating businesses are organised and managed separately according to the nature of the products and services provided, with each segment representing a strategic business unit that offers different products and serves different markets.

The paints segment manufactures and sells paints, decorating sundries, PVA emulsion and alkyd resins producer. The adhesives segment manufactures and sells adhesives. Transfer prices between the operating segments are set on commercial terms in a manner similar to transactions with third parties. Segment revenue, segment expenses and segment results include transfers between business segments. Those transfers are eliminated on consolidation.

Operating Segments

The Group's business is currently organised in two divisions, paint and adhesives. These divisions are the basis on which the Group reports its primary segment information.



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

34. OPERATING SEGMENT INFORMATION (Continued)

Segment information	Paints Kshs '000	Adhesives Kshs '000	Elimination Kshs '000	Total Kshs '000
31 December 2010				
Assets and Liabilities				
Segment assets	2,285,178	57,394	(370,235)	1,972,337
Investment	12,000	-----	(12,000)	-----
Total assets	2,297,178	57,394	(382,235)	1,972,337
Segment liabilities	1,304,712	136,577	(370,235)	1,071,054
Other segment information				
Capital expenditure - tangible fixed assets	43,388	130	-----	43,518
Depreciation and amortisation of leasehold land	71,060	4,693	-----	75,753
	Paints Kshs '000	Adhesives Kshs '000	Elimination Kshs '000	Total Kshs '000
31 December 2010				
Revenue				
Sales to external customers	3,053,079	15,389	-----	3,068,468
Inter segment sales	79,997	27,258	(107,255)	-----
Other income	40,054	2,554	-----	42,608
	3,173,130	45,201	(107,255)	3,111,076
Results				
Operating results	176,535	(7,055)	-----	169,480
Income tax expense	(78,063)	-----	-----	(78,063)
Profit / (loss) for the year	98,472	(7,055)	-----	91,417



NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2010

35. CAPITAL RISK MANAGEMENT

The company is incorporated in Kenya under the Kenyan Companies Act.

PROXY FORM

To: The Registrar
Custody & Registrar Services Limited
Bruce House, 6th Floor
Standard Street
PO Box 8484
00100 - NAIROBI

I/We _____ of _____

being a member/members of Crown Berger Kenya Limited hereby appoint

of _____

or failing him the Chairman of the meeting as my/our proxy to vote for me/us on my/our behalf at the Fifty Fourth Annual General Meeting of the Company to be held on 14 June 2011 and at any adjournment thereof.

Signed/Sealed this _____ day of _____ 2011

Notes:

- 1 *In the case of a corporation the proxy must be under the Common Seal or the hand of an officer or attorney duly authorised in that behalf.*
- 2 *To be valid, the proxy form should be completed and deposited with the Registrars not less than 48 hours before the time for holding the meeting or adjourned meeting.*

